



How it works

The two chains of command in a matrix create the grid. Staff report along a vertical line to a functional manager, such as the marketing director, and along a horizontal line to the project manager of a specific business line, brand, project, or region.

FOUR BIG MATRIX ORGANIZATIONS

► **Procter & Gamble (P&G)** To help it innovate and respond faster to the market, the consumer-product company is segmented into baby and family care, global beauty, health and grooming, and global fabric and home care.

► **IBM** Because it needs to control many global processes, the matrix at the technology and consulting corporation is structured vertically by divisions such as sales and distribution, finance and marketing, and software, and horizontally by country and region.

► **Cisco** In 2001, the IT company reorganized to enable committees to make decisions across several different functions and divisions. The idea was to stimulate ideas throughout the organization and quickly implement solutions to problems.

► **Starbucks** The coffee-shop chain is arranged by product on one axis of the matrix and business function on the other to ensure that quality and innovation meet customers' expectations and anticipate their desires.

Matrix structure

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In this case study, an oil-exploration and production company has several oil-refining projects to manage. The matrix guardian oversees the matrix and makes sure it works efficiently.

The diagram illustrates a matrix structure. At the top, an orange figure represents the **Engineering director**. A blue figure represents the **Matrix guardian**, positioned between the director and the project managers. Below the director, a vertical line connects to a horizontal line that serves as a reporting line for three team leaders: a yellow figure for the **Drilling team**, and two purple figures for the **Oil-extraction team** and **Liquefied natural gas team**. To the left of this structure, three red figures represent **Project managers** for **Arctic drilling**, **Malaysia oil wells**, and **New Zealand natural gas fields**. A dashed blue line separates the project managers from the technical teams, indicating that while project managers are responsible for the overall project, the technical teams report to the engineering director.

Engineering director

Matrix guardian

Project manager
Arctic drilling

Project manager
Malaysia oil wells

Project manager
New Zealand natural gas fields

Drilling team

Oil-extraction team

Liquefied natural gas team